

An Act

ENROLLED SENATE
BILL NO. 1916

By: Reinhardt of the Senate

and

Tedford of the House

An Act relating to the Insurance Department; amending 36 O.S. 2021, Sections 301, 1802, 1804, and 1805, which relate to supervisors and conservators of insurers; creating certain division within the Insurance Department; defining terms; modifying definitions; establishing certain powers for certain supervisor; updating statutory language; establishing certain powers for certain conservator; updating statutory references; allowing the Insurance Commissioner to employ or contract with certain persons; establishing certain expenses as fixed by the Commissioner; allowing the Commissioner to audit certain persons or books; establishing certain expenses as cost of administration; prohibiting records to be considered certain records; prohibiting disclosure of certain records in certain situations; construing provisions; establishing immunity of certain persons; amending 36 O.S. 2021, Sections 1901, as last amended by Section 1, Chapter 371, O.S.L. 2023, and 1914 (36 O.S. Supp. 2025, Section 1901), which relate to rehabilitation and liquidation; defining terms; modifying definitions; prohibiting records to be considered certain records; prohibiting disclosure of certain records in certain situations; construing provisions; allowing the Commissioner to employ or contract with certain persons; establishing certain expenses as fixed by the Commissioner; allowing the Commissioner to audit certain persons or books; establishing certain expenses as cost of administration; construing provisions; authorizing the Oklahoma Receivership Office to deposit certain funds; allowing combining

of certain funds; establishing use of certain funds;
establishing certain immunity and indemnification;
amending 36 O.S. 2021, Sections 1927.1 and 1937,
which relate to rehabilitation and liquidation;
updating statutory language; updating statutory
references; establishing purpose of certain funds for
certain immunity and indemnification obligations;
establishing certain protections for certain
contracted persons; making language gender neutral
providing for codification; and providing an
effective date.

SUBJECT: Insurance Department

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 36 O.S. 2021, Section 301, is
amended to read as follows:

Section 301. A. The Insurance Department ~~of the State of Oklahoma~~ is hereby created, and shall consist of such divisions, sections, bureaus, offices, and positions as may be established by the Insurance Commissioner, or by law. The Insurance Commissioner shall be the chief executive officer of the Insurance Department. The powers and duties of the Insurance Commissioner shall be those created by the Oklahoma Insurance Code. The Insurance Department shall be situated in one area in the State Capitol or some other location conveniently accessible to the general public subject to the provisions of Sections 63 and 94 of Title 74 of the Oklahoma Statutes and Section 580:20-13-5 of the Oklahoma Administrative Code.

B. There is hereby established a division within the Department to handle the administration and operation of supervisions, conservatorships, and receiverships in accordance with the provisions of Sections 1801 through 1938 of this title. The division shall be under the direction of the Commissioner and any appointed supervisor or conservator. The Commissioner shall take all appropriate actions necessary to ensure a smooth conversion of

all existing supervisions, conservatorships, and receiverships to the division by no later than January 1, 2028.

SECTION 2. AMENDATORY 36 O.S. 2021, Section 1802, is amended to read as follows:

Section 1802. ~~As used in Article 18 of the Insurance Code, the following words and terms set forth below shall have the meanings ascribed to them unless the context otherwise indicates~~ this act:

1. "Commissioner" means the Insurance Commissioner of this state;

2. "Consent" means any agreement by the insurer to either supervision or conservatorship;

3. "Conservator" means the Commissioner or his or her designee;

4. "Exceeded its powers" includes, but is not limited to, the following circumstances:

a. an insurer's refusal to permit examination of its books, papers, accounts, records, or affairs by the Commissioner, his or her designee, or duly commissioned examiners; or if such insurer being organized in the State of Oklahoma removes from the state such books, papers, accounts, or records necessary for an examination of such insurer,

b. an insurer's failure to promptly answer inquiries authorized by paragraph 7 of Section 1905 of this title,

c. an insurer's neglect or refusal to observe an order of the Commissioner to make good, within the time prescribed by law, any prohibited deficiency in its capital or surplus,

d. an insurer, without first obtaining written approval of the Commissioner, by contract or otherwise:

- (1) totally reinsuring its entire outstanding business, or
 - (2) merging or consolidating substantially its entire property or business with another approved insurer, or
- e. an insurer continuing to write business after its license has been revoked or suspended;

5. "Insolvent" or "insolvency" means any actual or threatened insurer delinquency including, but not limited to, any one or more of the following circumstances:

- a. an insurer's required surplus or capital is impaired to an extent prohibited by law,
- b. an insurer continues to write new business when it is not possessed of the surplus or capital required of it by law,
- c. the business of any such insurer is being conducted fraudulently,
- d. any such insurer attempts to dissolve or liquidate without first having made provisions, satisfactory to the Commissioner, for liabilities arising from policies of insurance issued by such insurer, or
- e. the insurer has made investments in violation of the Oklahoma Insurance Code or has knowingly over-valued insurer's assets;

6. "Insurer" is a person, organization, association or company, authorized or unauthorized, admitted or nonadmitted, acting as an insurer, or as principal or agent of an insurer, including any domestic, foreign or alien insurer, as defined in Article 6 of the Insurance Code, and including stock companies, reciprocals or insurance exchanges, Lloyds Associations, fraternal benefit societies, stipulated premium companies, and mutual companies of all kinds, including statewide mutual assessment corporations, local mutual aids, burial associations, county mutual insurance companies

and farm mutual insurance companies, and health maintenance organizations;

~~3. "Insolvent" or "insolvency" means any actual or threatened insurer delinquency including, but not limited to, any one or more of the following circumstances:~~

- ~~a. an insurer's required surplus or capital is impaired to an extent prohibited by law,~~
- ~~b. an insurer continues to write new business when it is not possessed of the surplus or capital required of it by law,~~
- ~~c. the business of any such insurer is being conducted fraudulently,~~
- ~~d. any such insurer attempts to dissolve or liquidate without first having made provisions, satisfactory to the Commissioner, for liabilities arising from policies of insurance issued by such insurer; or~~
- ~~e. the insurer has made investments in violation of the Insurance Code or has knowingly over-valued insurer's assets;~~

~~4. "Exceeded its powers" includes, but is not limited to, the following circumstances:~~

- ~~a. an insurer's refusal to permit examination of its books, papers, accounts, records or affairs by the Commissioner, his or her deputy or duly commissioned examiners; or if such insurer being organized in the State of Oklahoma removes from the state such books, papers, accounts or records necessary for an examination of such insurer,~~
- ~~b. an insurer's failure to promptly answer inquiries authorized by Section 1905(6) of this title,~~
- ~~c. an insurer's neglect or refusal to observe an order of the Commissioner to make good, within the time~~

~~prescribed by law, any prohibited deficiency in its capital or surplus,~~

~~d. an insurer, without first obtaining written approval of the Commissioner, by contract or otherwise:~~

~~(1) totally reinsuring its entire outstanding business, or~~

~~(2) merging or consolidating substantially its entire property or business with another approved insurer, or~~

~~e. an insurer continuing to write business after its license has been revoked or suspended; and~~

~~5. "Consent" means any agreement by the insurer to either supervision or conservatorship~~

7. "Oklahoma Receivership Office" means a division within the Insurance Department that handles the administration and operation of supervisions, conservatorships, and receiverships in accordance with the provisions of Sections 1801 through 1938 of this title; and

8. "Supervisor" means the Commissioner or his or her designee.

SECTION 3. AMENDATORY 36 O.S. 2021, Section 1804, is amended to read as follows:

Section 1804. A. During any period of supervision, the Commissioner may appoint a supervisor for such insurer and provide that the insurer may not do any of the following things without the prior approval of the Commissioner or ~~his~~ the supervisor:

1. Dispose, convey or encumber any of its assets or its business in force;

2. Withdraw funds from bank accounts;

3. Lend funds;

4. Invest funds;

5. Transfer property;
6. Incur any debt, obligation or liability;
7. Merge or consolidate with another company; or
8. Enter into any new reinsurance contract or treaty.

B. In addition, the Commissioner or the supervisor may require of the insurer, the following:

1. Periodic actuarial reviews; and
2. That the insurer limit or cease writing certain lines of insurance.

C. Within the limits of duties imposed upon them, appointed supervisors shall possess all the powers given to a supervisor and, in the exercise of those powers, shall be subject to all duties, powers, and limitations imposed upon the supervisor.

SECTION 4. AMENDATORY 36 O.S. 2021, Section 1805, is amended to read as follows:

Section 1805. A. If, after notice and hearing, at the conclusion of the ~~90-day~~ ninety-day period the Insurance Commissioner determines that the insurer has failed to comply with ~~his~~ the Commissioner's lawful requirements, or upon consent of the insurer, ~~he~~ the Commissioner may appoint a conservator, ~~who~~ who. Within the limits of the duties imposed upon the conservator, the conservator shall possess all the powers given to a conservator and, in the exercise of those powers, shall be subject to all of the duties, powers, and limitations imposed upon the conservator. The conservator shall immediately:

1. Take charge of such insurer and all of the property, books, records and effects;
2. Conduct its business; and

3. Take such other steps toward the removal of the causes and conditions which have necessitated such order, as the Commissioner may direct.

B. During the pendency of conservatorship, the conservator shall make such reports as may be required by the Commissioner, and may:

1. Take all necessary measures to preserve, protect and recover any assets or property of such insurer including claims or causes of action belonging to ~~or which~~ or which may be asserted by such insurer in his or her own name as conservator; and

2. File, prosecute and defend any legal actions which have been filed, or which may thereafter be filed, by or against such insurer, as ~~he~~ the conservator deems necessary to protect all of the interested parties or any property affected ~~thereby~~. The conservator shall file all quarterly and annual reports required by the Oklahoma Insurance Code and in the same manner as the insurer.

C. If upon appointment of a conservator or at any time during the pendency of such conservatorship it appears that the insurer can best be protected by reinsuring the same, the conservator may, with the approval of the Commissioner, after appraisal of all assets of the insurer:

1. Reinsure all or part of such insurer's policies or certificates of insurance with any solvent insurers authorized to transact business in this state; and

2. To the extent that such insurer is possessed of reserves attributable to such policies or certificates of insurance, transfer to the reinsuring company such reserves or any portion thereof as may be required to consummate the reinsurance of such policies, which transfer of reserves shall not be deemed a preference of creditors.

D. If the Commissioner is satisfied that the insurer is not in condition to continue business in the interest of its policy or certificate holders, under the conservator, the Commissioner shall apply to the appropriate court for an order appointing him or her as receiver for the insurer, under the provisions of ~~Article 18~~

Sections 1801 through 1938 of this title. It shall be in the discretion of the Commissioner to determine whether or not he or she will operate the insurance company through a conservator, as provided above, or apply for an order appointing ~~him~~ the Commissioner receiver.

E. ~~The cost incident to the supervisor's and conservator's service~~ The Commissioner may employ or contract with an appointed supervisor or conservator, legal counsel, actuaries, accountants, appraisers, consultants, clerks, assistants, or other personnel as may be deemed necessary. Any appointed supervisor or conservator with whom the Commissioner contracts pursuant to this subsection shall be considered to be an agent of the Commissioner only in the Commissioner's capacity as supervisor or conservator and shall not be considered an agent of the state.

F. All expenses of the supervision or conservatorship shall be fixed by the Commissioner and paid from the assets and funds of the insurer as the Commissioner may determine. The cost of the supervisor's or conservator's service ~~must~~ shall be reasonable under the circumstances and shall continue no longer than necessary to preserve the assets of the insurer, certificate holders and the policyholders. All legal work required under this act shall be performed by the Commissioner, ~~his~~ the appointed supervisor or conservator, the Commissioner's employees, or ~~special~~ attorneys employed by the Commissioner. The cost of such attorneys' services ~~must~~ shall be reasonable under the circumstances and shall be paid from the assets and funds of the insurer to the Commissioner.

G. The Commissioner, in his or her discretion, may require audits to be made of the books of any appointed supervisor or conservator relating to any supervision or conservatorship established under this act, and a report of each audit shall be filed with the Commissioner. The books, records, and other documents of the supervision or conservatorship shall be made available to the auditor at any time without notice. The expenses of each audit shall be considered a cost of administration of the supervision or conservatorship.

H. The records of an insurer held by the Commissioner, supervisor, conservator, and his or her employees shall not be:

1. Considered records of the Insurance Department;

2. Public records;

3. Subject to subpoena; and

4. Disclosed, except in connection with administrative or receivership proceedings by the Commissioner.

I. The provisions of any law governing the procurement of goods and services by the state or an official of the executive branch shall not apply to any contract entered into by the Commissioner or the Commissioner's authorized signatory as conservator or supervisor.

~~F. J.~~ The supervision or conservation may continue until the Commissioner ~~(1)~~ feels certain that the insurer has corrected any deficiencies that caused the supervision or conservation, or ~~(2)~~ a receivership has been granted by the Court.

SECTION 5. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1813 of Title 36, unless there is created a duplication in numbering, reads as follows:

The Insurance Commissioner, his or her employees, current or former appointed supervisor or conservator, or the supervisor's or conservator's contractors shall:

1. Have no liability and no cause of action of any nature shall arise against such person for any action taken in performance of his or her powers and duties pursuant to this act; and

2. Be indemnified to the same extent as a receiver and the receiver's employees and contractors are indemnified pursuant to Section 1937 of Title 36 of the Oklahoma Statutes.

SECTION 6. AMENDATORY 36 O.S. 2021, Section 1901, as last amended by Section 1, Chapter 371, O.S.L. 2023 (36 O.S. Supp. 2025, Section 1901), is amended to read as follows:

Section 1901. ~~For the purpose of Article 19 of the Oklahoma Insurance Code~~ As used in this act:

1. "Ancillary state" means any state other than a domiciliary state;

2. "Delinquency proceeding" means any proceeding commenced against an insurer pursuant to this act for the purpose of liquidating, rehabilitating, reorganizing, or conserving such insurer;

3. "Domiciliary state" means the state in which an insurer is incorporated or organized, or in the case of an insurer incorporated or organized in a foreign country, the state in which such insurer, having become authorized to do business in such state, has at the commencement of delinquency proceedings the largest amount of its assets held in trust and assets held on deposit for the benefit of its policyholders or policyholders and creditors in the United States, and any such insurer deemed to be domiciled in such state;

4. "Foreign country" means territory not in any state;

5. "General assets" means all property, real, personal, or otherwise, not specifically mortgaged, pledged, deposited, or otherwise encumbered for the security or benefit of specified persons or a limited class or classes of persons, and as to such specifically encumbered property, the term includes all such property or its proceeds in excess of the amount necessary to discharge the sum or sums secured. Assets held in trust and assets held on deposit for the security or benefit of all policyholders or all policyholders and creditors in the United States shall be deemed general assets;

6. "Insurer" means any person, firm, corporation, health maintenance organization, association, or aggregation of persons doing an insurance business and subject to the insurance supervisory authority of, or to liquidation, rehabilitation, reorganization, or conservation by the Insurance Commissioner or the equivalent insurance supervisory official of another state;

7. "Impairment" or "insolvency" means the capital of a stock insurer, or limited stock life, accident and health insurer, the net assets of a Lloyds association, or the surplus of a mutual or reciprocal insurer, shall be deemed to be impaired and the insurer

shall be deemed to be insolvent, when such insurer shall not be possessed of assets at least equal to all liabilities and required reserves together with its total issued and outstanding capital stock if a stock insurer, the net assets if a Lloyds association, or the minimum surplus if a mutual or reciprocal insurer required by this Code to be maintained for the kind or kinds of insurance it is then authorized to transact;

~~2. "Insurer" means any person, firm, corporation, health maintenance organizations, association or aggregation of persons doing an insurance business and subject to the insurance supervisory authority of, or to liquidation, rehabilitation, reorganization or conservation by the Insurance Commissioner or the equivalent insurance supervisory official of another state;~~

~~3. "Delinquency proceeding" means any proceeding commenced against an insurer pursuant to this article for the purpose of liquidating, rehabilitating, reorganizing or conserving such insurer;~~

~~4. "State" means any state of the United States and also the District of Columbia and Puerto Rico;~~

~~5. "Foreign country" means territory not in any state;~~

~~6. "Domiciliary state" means the state in which an insurer is incorporated or organized, or in the case of an insurer incorporated or organized in a foreign country, the state in which such insurer, having become authorized to do business in such state, has at the commencement of delinquency proceedings, the largest amount of its assets held in trust and assets held on deposit for the benefit of its policyholders or policyholders and creditors in the United States, and any such insurer is deemed to be domiciled in such state;~~

~~7. "Ancillary state" means any state other than a domiciliary state;~~

~~8. "Reciprocal state" means any state other than this state that has enacted a law that sets forth a scheme for the administration of an insurer in receivership by the state's insurance commissioner or comparable insurance regulatory official;~~

~~9. "General assets" means all property, real, personal or otherwise, not specifically mortgaged, pledged, deposited or otherwise encumbered for the security or benefit of specified persons or a limited class or classes of persons, and as to such specifically encumbered property the term includes all such property or its proceeds in excess of the amount necessary to discharge the sum or sums secured thereby. Assets held in trust and assets held on deposit for the security or benefit of all policyholders or all policyholders and creditors in the United States shall be deemed general assets;~~

~~10. "Preferred claim" means any claim with respect to which the law of the state or of the United States accords priority of payments from the general assets of the insurer;~~

8. "Oklahoma Receivership Office" means a division within the Insurance Department that handles the administration and operation of supervisions, conservatorships, and receiverships in accordance with the provisions of Sections 1801 through 1938 of this title;

9. "Preferred claim" means any claim with respect to which the laws of the state or of the United States accords priority of payments from the general assets of the insurer;

10. "Receiver" means a receiver, liquidator, rehabilitator, or conservator as the context may require;

11. "Reciprocal state" means any state other than this state that has enacted a law that sets forth a scheme for the administration of an insurer in receivership by the state's insurance commissioner or comparable insurance regulatory official;

12. "Secured claim" means any claim secured by mortgage, trust deed, pledge, deposit as security, escrow, or otherwise, but not including special deposit claim or claims against general assets. The term also includes claims that more than four (4) months prior to the commencement of delinquency proceedings in the state of the insurer's domicile have become liens upon specific assets by reason of judicial process;

~~11.~~ 13. "Special deposit claim" means any claim secured by a deposit made pursuant to statute for the security or benefit of a limited class or classes of persons, but not including any general assets;

~~12. "Secured claim" means any claim secured by mortgage, trust deed, pledge, deposit as security, escrow, or otherwise, but not including special deposit claim or claims against general assets. The term also includes claims which more than four (4) months prior to the commencement of delinquency proceedings in the state of the insurer's domicile have become liens upon specific assets by reason of judicial process;~~

~~13. "Receiver" means receiver, liquidator, rehabilitator, or conservator as the context may require; and~~

14. "State" means any state, territory, or district of the United States including, but not limited to, the District of Columbia and Puerto Rico; and

15. "Qualified financial contract" means a commodity contract, forward contract, repurchase agreement, securities contract, swap agreement, and any similar agreement the Commissioner determines by rule, regulation, resolution, or order to be a qualified financial contract.

SECTION 7. AMENDATORY 36 O.S. 2021, Section 1914, is amended to read as follows:

Section 1914. A. Whenever under ~~this article~~ Section 1901 through 1938 of this title a receiver is to be appointed in delinquency proceedings for a domestic or alien insurer, the court shall appoint the Insurance Commissioner as the receiver. The court shall order the ~~Insurance~~ Commissioner ~~forthwith~~ to take possession of the assets of the insurer and to administer the same under the orders of the court.

B. 1. As domiciliary receiver, the ~~Insurance~~ Commissioner shall be vested by operation of law with the title to all of the property, contracts, and rights of action and all of the books and records of the insurer, wherever located, as of the date of entry of the order directing the Commissioner to rehabilitate or liquidate a

domestic insurer or to liquidate the United States branch of an alien insurer domiciled in this state, and the Commissioner shall have the right to recover the same and reduce the same to possession; except that ancillary receivers in reciprocal states shall have, as to assets located in their respective states, the rights and powers which are herein prescribed for ancillary receivers appointed in this state as to assets located in this state.

2. The records of an insurer held by the Commissioner as receiver, the assistant receiver, and his or her employees, shall not be:

- a. considered records of the Insurance Department,
- b. public records,
- c. subject to subpoena, and
- d. disclosed except in connection with administrative or receivership proceedings by the Commissioner.

C. The recording of a certified copy of the order directing possession to be taken in the office of the county clerk of the county where the proceedings are pending shall impart the same notice as would be imparted by a deed, bill of sale, or other evidence of title duly recorded or filed.

D. The ~~Insurance~~ Commissioner as domiciliary receiver shall be responsible for the proper administration of all assets coming into the Commissioner's possession or control. The court may at any time require a bond from the Commissioner or any assistants or deputies if deemed desirable for the protection of the assets.

E. Upon taking possession of the assets of an insurer, the domiciliary receiver shall, subject to the direction of the court, immediately proceed to conduct the business of the insurer or to take such steps as are authorized by this article for the purpose of rehabilitating, liquidating, or conserving the affairs or assets of the insurer.

F. 1. In connection with delinquency proceedings, the Insurance Commissioner may appoint one or more assistant ~~commissioners~~ receivers to act for the Commissioner ~~and may employ such counsel, clerks, and assistants as are deemed necessary.~~ The Commissioner may employ or contract with an assistant receiver, legal counsel, actuaries, accountants, appraisers, consultants, clerks, assistants, or other contractors as may be deemed necessary. Any appointed assistant receiver with whom the Commissioner contracts pursuant to this subsection shall be considered to be an agent of the Commissioner only in the Commissioner's capacity as receiver and shall not be considered an agent of the state.

2. The compensation of the assistant ~~commissioners~~ receivers, counsel, actuaries, accountants, consultants, clerks, assistants, or ~~deputies~~ other contractors and all expenses of taking possession of the insurer and of conducting the proceedings shall be fixed by the receiver, subject to the approval of the court, and shall be paid out of the funds or assets of the insurer. Within the limits of duties imposed upon them, assistant ~~commissioners~~ receivers shall possess all the powers given to the receiver and, in the exercise of those powers, shall be subject to all of the duties, powers, and limitations imposed upon the receiver with respect to such proceedings.

~~2.~~ 3. The Commissioner, as receiver, ~~is~~ shall be prohibited from appointing any person who is related to the Commissioner within the third degree of consanguinity or affinity. Any appointment in violation of this paragraph ~~is~~ shall be void.

~~3.~~ 4. The Commissioner, as receiver, ~~is~~ shall be prohibited from entering into any contract with any person who is related to the Commissioner within the third degree of consanguinity or affinity. Any contract in violation of this paragraph ~~is~~ shall be void.

G. The court, as it seems desirable, may require audits to be made of the books of the receiver relating to any receivership established pursuant to this act, and a report of each audit shall be filed with the receiver and the court. The books, records, and other documents of the receivership shall be made available to the auditor at any time without notice. The expenses of each audit shall be considered a cost of administration of the receivership.

H. The provisions of any law governing the procurement of goods and services by the state or an official of the executive branch shall not apply to any contract entered into by the Commissioner or the Commissioner's authorized signatory as receiver.

SECTION 8. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1914.1 of Title 36, unless there is created a duplication in numbering, reads as follows:

A. The Oklahoma Receivership Office shall be authorized to deposit funds and assets held prior to the effective date of this act pursuant to Sections 1901 through 1938 of Title 36 of the Oklahoma Statutes into one or more accounts or investment accounts, in one or more state or national banks, saving banks, savings and loan associations, trust companies, investment firms, or other appropriate financial institutions. Funds deposited pursuant to this section may be:

1. Combined to yield the highest rate of return on deposits, or in any other way to facilitate the efficient operation of the Oklahoma Receivership Office and the respective receiverships under its jurisdiction; and

2. Used for the purpose of operating the division, for the expenses of the respective jurisdiction in accordance with the provisions of Sections 1901 through 1938 of Title 36 of the Oklahoma Statutes.

B. Funds deposited pursuant to subsection A of this section shall be continuing funds, are not funds of this state, the Insurance Department, or any other agency of this state, and shall be in no way commingled or combined with funds of this state.

SECTION 9. AMENDATORY 36 O.S. 2021, Section 1927.1, is amended to read as follows:

Section 1927.1. A. The priority of distribution of claims from the insurer's estate shall be in accordance with the order in which each class of claims is set forth in this section. Before the members of the next class receive any payment, every claim in each class shall be:

1. Paid in full; or
2. Protected by adequate funds retained for such payment.

Once such funds are approved by the court and paid or retained by the liquidator, the insurer's estate shall have no further liability to members of that class except to the extent of the retained funds and any other undistributed funds. Payment of retained funds pursuant to court order under this section extinguishes the potential liability of the receiver to the United States or any other governmental entity. No subclasses shall be established within any class except as otherwise provided by law. No claim by a shareholder, policyholder or other creditor shall be permitted to circumvent the priority classes through the use of equitable remedies. The order of distribution of claims shall be as provided in subsection B of this section.

B. 1. Class 1. The reasonable costs and expenses of administration expressly approved by the receiver, including but not limited to the following:

- a. the actual and necessary costs of preserving or recovering the assets of the insurer,
- b. compensation for all authorized services rendered in the conservation, rehabilitation or liquidation,
- c. any necessary filing or recordation fees,
- d. the fees and mileage payable to witnesses, including experts, and other litigation costs and expenses,
- e. authorized reasonable attorney fees and other professional services rendered in the conservation, rehabilitation or liquidation, and
- f. any reasonable expenses that were incurred in furtherance of activities that provided a material economic benefit to the estate.

2. Class 2. The administrative expenses of guaranty associations. For purposes of this section these expenses shall be the reasonable expenses incurred by guaranty associations where the expenses are not payments or expenses which are required to be incurred as direct policy benefits in fulfillment of the terms of the insurance contract or policy, and that are of the type and nature that, but for the activities of the guaranty association otherwise would have been incurred by the receiver, including but not limited to evaluations of policy coverage, activities involved in the adjustment and settlement of claims under policies, including those of in-house or outside adjusters, and the reasonable expenses incurred in connection with the arrangements for ongoing coverage through transfer to other insurers, policy exchanges or maintaining policies in force. The receiver may in his or her sole discretion approve as an administrative expense under this section any other reasonable expenses of the guaranty association if the receiver finds:

- a. the expenses are not expenses required to be paid or incurred as direct policy benefits by the terms of the policy, and
- b. the expenses were incurred in furtherance of activities that provided a material economic benefit to the estate as a whole, irrespective of whether the activities resulted in additional benefits to covered claimants.

The court shall approve such expenses unless it finds the receiver abused his or her discretion in approving the expenses. If the receiver determines that any administrative expenses of a guaranty association were not reasonable expenses, but were nevertheless paid out of a statutory deposit or the proceeds of any bond or other asset located in another state or foreign country, then the court shall adjudge the Class 3 claims of that association to have been paid to the extent of the amount of unreasonable expenses thus paid from those assets.

If the receiver determines that the assets of the estate will be sufficient to pay all Class 1 claims in full, Class 2 claims shall be paid, provided that the liquidator shall secure from each of the associations receiving disbursements pursuant to this section an

agreement to return to the liquidator such disbursements, together with investment income actually earned on such disbursements, as may be required to pay Class 1 claims. No bond shall be required of any such association.

3. Class 3. All claims under policies including claims of the federal or any state or local government for losses incurred ("loss claims") including third-party claims, claims for unearned premiums, all claims of a guaranty association for payment of covered claims or covered obligations of the insurer and all claims of a guaranty association for reasonable expenses other than those included in Class 2. All claims under life and health insurance and annuity policies, whether for death proceeds, health benefits, annuity proceeds, or investment values shall be treated as loss claims. That portion of any loss, indemnification for which is provided by other benefits or advantages recovered by the claimant, shall not be included in this class, other than benefits or advantages recovered or recoverable in discharge of familial obligation of support or by way of succession at death or as proceeds of life insurance, or as gratuities. No payment by an employer to his employee shall be treated as a gratuity.

Notwithstanding the foregoing, the following claims shall be excluded from Class 3 priority:

- a. obligations of the insolvent insurer arising out of reinsurance contracts,
- b. obligations incurred after the expiration date of the insurance policy or after the policy has been replaced by the insured or canceled at the insured's request or after the policy has been canceled as provided in this act. Notwithstanding the provisions of this paragraph, earned premium claims on policies, other than reinsurance agreements, shall not be excluded,
- c. obligations to insurers, insurance pools or underwriting associations and their claims for contribution, indemnity or subrogation, equitable or otherwise,

- d. any claim which is in excess of any applicable limits provided in the insurance policy issued by the insolvent insurer,
- e. any amount accrued as punitive or exemplary damages unless expressly covered under the terms of the policy, and
- f. tort claims of any kind against the insurer, and claims against the insurer for bad faith or wrongful settlement practices.

4. Class 4. Claims of the federal government other than those claims included in Class 3.

5. Class 5. Debts due employees for services, benefits, contractual or otherwise due arising out of such reasonable compensation to employees for services performed to the extent that they do not exceed two (2) months of monetary compensation and represent payment for services performed within six (6) months before the filing of the petition for liquidation or, if rehabilitation preceded liquidation, within one (1) year before the filing of the petition for rehabilitation. Principal officers and directors shall not be entitled to the benefit of this priority except as otherwise approved by the liquidator and the court. This priority shall be in lieu of any other similar priority which may be authorized by law as to wages or compensation of employees.

6. Class 6. Claims of any person, including claims of state or local governments, except those specifically classified elsewhere in this section.

7. Class 7. Claims for commissions and service fees, and claims of attorneys for fees and expenses owed them by a person for services rendered in opposing a formal delinquency proceeding. In order to prove the claim, the claimant ~~must~~ shall show that the insurer which is the subject of the delinquency proceeding incurred such fees and expenses based on its best knowledge, information and belief, formed after reasonable inquiry indicating opposition was in the best interests of the person, was well grounded in fact and was warranted by existing law or a good-faith argument for the extension, modification or reversal of existing law, and that

opposition was not pursued for any improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of the litigation.

8. Class 8. Claims of any state or local government for a penalty or forfeiture, but only to the extent of the pecuniary loss sustained from the act, transaction or proceeding out of which the penalty or forfeiture arose, with reasonable and actual costs occasioned thereby. The remainder of such claims shall be postponed to the class of claims under paragraph 9 of this subsection.

9. Class 9. Surplus or contribution notes or similar obligations, premium refunds on assessable policies, interest on claims of Classes 1 through 8 and any other claims specifically subordinated to this class.

10. Class 10. ~~a.~~ Claims of shareholders or other owners arising out of their capacity as shareholders or other owners, or arising in any other capacity or facts except as they may be qualified in Class 3 or 4 above; provided, however, that no shareholder, member or other owner shall be entitled to, or receive, any distribution from the insolvent insurer's estate under this paragraph, if:

- ~~(1)~~ a. the intentional wrongdoing, fraud, gross negligence, negligence or other act, failure to act, transaction or proceeding of such shareholder, member or owner, alone or in concert with others, or of a director or officer of the insolvent insurer, is found by a court of competent jurisdiction or by the receiver in his or her reasonable discretion, to have caused, or to have been a contributing factor to, the insolvency of the insolvent insurer,
- ~~(2)~~ b. funds were collected from the shareholder, member or other owner, either directly or through an insurance carrier, fidelity bond issuer or other entity, as a consequence of, or related to, a claim made or brought by the receiver of said insurer, or
- ~~(3)~~ c. any of the funds available for distribution consist of punitive damages recovered by the receiver of said

estate from any source based upon any claim made or brought by the receiver.

C. 1. In the event there is no eligible shareholder, member or other owner entitled to distribution in accordance with this ~~paragraph~~ section, the remaining funds and other property of the insolvent insurer's estate, if any, shall be distributed to a fund established and held in the name of, and for the use and benefit of, the receiver, through the Oklahoma Receivership Office ~~or any similar entity established by the receiver~~, which shall be used in the administration of other insurers in rehabilitation or liquidation.

~~b.~~ 2. All funds distributed to the receiver under this paragraph shall be advanced to and utilized by the receiver's staff engaged in the rehabilitation or liquidation of insolvent insurance business companies for the following purposes:

- ~~(1)~~ a. the administration of liquidations of estates which temporarily or permanently do not have the financial capability to administer the liquidation, including the prosecution of claims of the receiver, ~~or~~
- ~~(2)~~ b. the prosecution of petitions to place insurers in rehabilitation or liquidation, or
- c. the immunity and indemnification obligations of the insurer pursuant to Section 1937 of this title.

~~In the event such~~ 3. Such funds are distributed to or for an insolvent insurer, ~~the receiver shall obtain from the insurer a promissory note or other evidence of indebtedness, secured by collateral if possible, for the amount distributed, which shall be treated as a Class 1 expense under paragraph 1 of this subsection. The receiver shall make good-faith efforts to collect reimbursement of any such loans. No funds distributed to the receiver under this paragraph shall be used to pay claims other than Class 1 claims under paragraph 1 of this subsection.~~ The funds are not funds of ~~the State of Oklahoma~~ this state and are not funds of the ~~Oklahoma Insurance Department or any other agency of the State of Oklahoma~~ this state.

~~This paragraph shall apply to the administration of all receivership estates open and ongoing as of November 1, 2014, and to all receivership proceedings commenced after November 1, 2014.~~

~~C.~~ D. If any claimant of this state, another state or foreign country shall be entitled to or shall receive a dividend upon his or her claim out of a statutory deposit or the proceeds of any bond or other asset located in another state or foreign country, unless such deposit or proceeds shall have been delivered to the domiciliary liquidator, then the claimants shall not be entitled to any further dividend from the receiver until and unless all other claimants of the same class, irrespective of residence or place of the acts or contracts upon which their claims are based, shall have received an equal dividend upon their claims, and after such equalization, such claimants shall be entitled to share in the distribution of further dividends by the receiver, along with and like all other creditors of the same class, wheresoever residing.

~~D.~~ E. Upon the declaration of a dividend, the receiver shall apply the amount of the dividend against any indebtedness owed to the insurer by the person entitled to the dividend. There shall be no claim allowed for any deductible charged by a guaranty association or entity performing a similar function.

~~E.~~ F. This section shall apply to pending and future claims in existing delinquency proceedings as well as to claims in delinquency proceedings arising after the effective date of this section.

~~F.~~ G. If any provision of this section or the application thereof to any person or circumstances is held invalid, such invalidity shall not affect other provisions or application of this section to the extent such other provisions or application can be given effect without the invalid provision or application.

SECTION 10. AMENDATORY 36 O.S. 2021, Section 1937, is amended to read as follows:

Section 1937. A. For the purposes of this section the persons entitled to protection under this section are:

1. The receiver, assistant receiver, and retained counsel responsible for the conduct of a delinquency proceeding under

Article 19 of the Insurance Code, including present and former receivers; and

2. Their employees meaning all present and former assistant receivers and attorneys for the receiver appointed by the Insurance Commissioner and all persons whom the Commissioner, assistant receiver or retained counsel have employed, or contracted with, to assist in a delinquency proceeding ~~under Article 19 of the Insurance Code~~ pursuant to Sections 1901 through 1938 of this title. Attorneys, accountants, auditors and other professional persons or firms, who are retained by the receiver as independent contractors and their employees shall not be considered employees of the receiver for purposes of this section.

B. If any legal action is commenced against the receiver or any employee, whether against ~~him~~ such person personally or in his or her official capacity, alleging property damage, property loss, personal injury or other civil liability caused by or resulting from any alleged act, error or omission of the receiver or any employee arising out of or by reason of ~~their~~ his or her duties or employment, the receiver and any employee shall be indemnified from the assets of the insurer for all expenses, attorneys' fees, judgments, settlements, decrees or amounts due and owing or paid in satisfaction of or incurred in the defense of such legal action unless it is determined upon a final adjudication on the merits that the alleged act, error or omission of the receiver or employee giving rise to the claim did not arise out of or by reason of his duties or employment, or was caused by intentional or willful and wanton misconduct.

1. Attorneys' fees and any and all related expenses incurred in defending a legal action for which immunity or indemnity is available under this section shall be paid from the assets of the insurer, as they are incurred, in advance of the final disposition of such action upon receipt of an undertaking by or on behalf of the receiver or employee to repay the attorneys' fees and expenses if it shall ultimately be determined upon a final adjudication on the merits that the receiver or employee is not entitled to immunity or indemnity under this section.

2. Any indemnification for expense payments, judgments, settlements, decrees, attorneys' fees, surety bond premiums or other

amounts paid or to be paid from the insurer's assets pursuant to this section shall be an administrative expense of the insurer.

3. In the event of any actual or threatened litigation against a receiver or any employee for which immunity or indemnity may be available under this section, a reasonable amount of funds which in the judgment of the Insurance Commissioner may be needed to provide immunity or indemnity shall be segregated and reserved from the assets of the insurer as security for the payment of indemnity until such time as all applicable statutes of limitation shall have run and all actual or threatened actions against the receiver or any employee have been completely and finally resolved, and all obligations of the insurer and the Commissioner under this section shall have been satisfied.

4. In lieu of segregation and reserving of funds, the ~~Insurance~~ Commissioner shall have the discretion to obtain a surety bond or make other arrangements which shall enable the Commissioner to fully secure the payment of all obligations ~~under~~ pursuant to this section.

C. If any legal action against an employee for which indemnity may be available ~~under~~ pursuant to this section is settled prior to final adjudication on the merits, the insurer ~~must~~ shall pay the settlement amount on behalf of the employee, or indemnify the employee for the settlement amount, unless the ~~Insurance~~ Commissioner determines:

1. That the claim did not arise out of or by reason of the employee's duties or employment; or

2. That the claim was caused by the intentional or willful and wanton misconduct of the employee.

D. In any legal action in which the receiver is a defendant, that portion of any settlement relating to the alleged act, error or omission of the receiver shall be subject to the approval of the court before which the delinquency proceeding is pending. The court shall not approve that portion of the settlement if it determines:

1. That the claim did not arise out of or by reason of the receiver's duties or employment; or

2. That the claim was caused by the intentional or willful and wanton misconduct of the receiver.

E. Nothing contained or implied in this section shall operate, or be construed or applied to deprive the receiver or any employee of any immunity, indemnity, benefits of law, rights or any defense otherwise available.

F. 1. No legal action shall lie against the receiver or any employee based in whole or in part on any alleged act, error or omission which took place prior to September 1, 1992, unless suit is filed and valid service of process is obtained prior to September 1, 1993.

2. Subsections B, C, and D of this section shall apply to any suit which is pending on or filed after September 1, 1992, without regard to when the alleged act, error or omission took place.

SECTION 11. This act shall become effective November 1, 2026.

Passed the Senate the 26th day of March, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the 6th day of May, 2026.

Presiding Officer of the House
of Representatives

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____